

COLLEGE PAYROLL ACCOUNTING (130) —Post-secondary— **NATIONAL – 2019**

Multiple Choice & Short-Answer Section:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Short-Answers Questions (36 @ 2 points each) _____ (72 points)

Production Portion:

Problem 1: Percentage Method Withholding _____ (25 points)

Problem 2: Form 941 _____ (64 points)

Problem 3: Tax Deposit _____ (55 points)

TOTAL POINTS _____ ***(246 points)***

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

Property of Business Professionals of America.
May be reproduced only for use in the Business Professionals of America
Workplace Skills Assessment Program competition.

General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts. The multiple choice and short-answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when completing this assessment:

- Calculate all calculations to four (4) decimals, then round to the nearest cent.
- 2018 Payroll Tax Rules Apply
- Social Security (OASDI): 6.2% on the first \$128,700
- Medicare (HI): 1.45%
- FUTA: .6% on first \$7,000 of employee wages
- SUTA: Information is in each question
- Overtime paid as time and a half unless otherwise noted.

Multiple Choice

Identify the letter of the choice that best completes the statement or answers the question.

1. The IRS Safe Harbor rule allows an employer to deposit up to a shortfall _____ of their required deposit without penalty.
 - a. \$200 or 4%
 - b. \$150 or 3%
 - c. \$100 or 2%
 - d. \$50 or 1%
2. A full-time student who is employed by a college may be paid
 - a. 85% of minimum wage
 - b. 80% of minimum wage
 - c. 100% of minimum wage, just like everyone else
 - d. 75% of minimum wage
3. The law that allows an employee to take 12 weeks of unpaid leave, without losing their job and maintaining health benefits is called
 - a. Family Mandatory Leave Act
 - b. Family and Medical Leave Act
 - c. Funeral and Medical Leverage Act
 - d. First Medical Leave Act
4. Which of the following establishes minimum wage, overtime pay, recordkeeping and child labor standards?
 - a. Wage and Hour Division
 - b. Department of Labor
 - c. FMLA
 - d. Fair Labor Standards Act
5. Which of the following explains a Defined Benefit Plan?
 - a. Retirement account for which your employer pays
 - b. Retirement account for which only the employee pays
 - c. Retirement account for which both the employee and employer may make payments
 - d. None of the above
6. An employer with annual liability of \$999 for social security, Medicare and federal withholding is able to file
 - a. Form 942
 - b. Form 943
 - c. Form 944
 - d. None of the above
7. A plan that allows employees to pay certain qualified expenses (such as health insurance premiums) on a pre-tax basis is called
 - a. Federal Medical Fund
 - b. Cafeteria Plan
 - c. Flexible Spending Account
 - d. Employee Stock Option Plans

8. The tip credit is an amount
 - a. employees can claim against tips they have earned on their income tax return
 - b. employees can ignore before they report tips to their employer
 - c. employers can ignore before they report tips for an employee
 - d. employers are able to claim against an employee's regular federal minimum wage
9. Employers are *required* to deposit _____ taxes at least monthly.
 - a. Social Security
 - b. Medicare
 - c. Federal Withholding
 - d. All of the above
10. What is the *maximum* amount an employer can pay for a SUTA tax?
 - a. 6.0%
 - b. 5.4%
 - c. 12.0%
 - d. None of the above

For the next five questions, use the following information. The Tommorowland Company pays all employees weekly. They have 3 employees with the following information.

Name	W-4 Information	Weekly Wage
Dash	Single – 0	\$1,575
Elastigirl	Married – 1	\$2,000
Frozone	Single – 1	\$2,750

11. Which employee(s) will reach the OASDI cap?
 - a. Dash
 - b. Elastigirl
 - c. Frozone
 - d. All will go over
 - e. None will go over
12. How much is the employer's FICA tax expense for the first payroll of the year?
 - a. \$483.86
 - b. \$392.15
 - c. \$91.71
 - d. \$967.73
13. Which employee(s) will reach the FUTA cap?
 - a. Dash
 - b. Elastigirl
 - c. Frozone
 - d. All will go over
 - e. None will go over

14. What is the maximum amount of FUTA, provided all payments are timely?
- \$42.00
 - \$126.00
 - \$84.00
 - \$162.00
15. How much is the employer's FICA tax expense for the 50th payroll of the year?
- \$483.86
 - \$313.37
 - \$392.15
 - \$546.98

Short-Answer Questions: (72 points, 2 each)

1. Calculate the gross wages indicated in the table:

Employee	Annual Salary	Weekly	Bi-Weekly	Semi-Monthly	Monthly
Aurora	\$75,350				
Fauna	\$64,075				
Flora	\$115,525				
Maleficent	\$49,440				
Marryweather	\$102,865				

2. Buzz Lightyear is a tipped waiter who earns more than \$30 in tips per month. During one week he received \$201.25 in tips for a 40-hour workweek. Answer the following questions in regards to Buzz's work week.

Hourly wage earned from tips \$_____

Amount his employer must pay him per hour \$_____

3. Mrs. Potato Head is an Administrative Assistant who earns a salary of \$81,250 per year and is paid on a weekly basis. She works the following hours:

Monday	Tuesday	Wednesday	Thursday	Friday
8.25 hours	7 hours	12 hours	9.75 hours	2 hours

How much will Mrs. Potato Head's gross pay be for the week? \$_____

4. The following data was collected from The Seven Dwarfs Manufacturing payroll records for the current year payroll of April 14, 2017. The Seven Dwarfs SUTA rate is 3.12%.

(Assuming the FUTA and SUTA taxable limits are both on the first \$7,000 of wages earned)

Employee	Cumulative Earnings Prior Pay Periods	Current Pay Period Earnings	FUTA/SUTA Taxable Amount	FUTA Tax Liab	SUTA Tax Liab	FICA Tax Liab
Bashful	6,023.00	1,100.00				
Doc	5,418.00	2,125.00				
Dopey	921.00	430.00				
Grumpy	5,895.00	1,347.00				
Happy	6,520.00	895.00				
Sleepy	3,254.00	366.00				
Sneezy	7,967.00	1,256.00				
Totals						

PROBLEMS

1. **(25 POINTS, 5 POINTS EACH)** Calculate the Federal Withholding using the percentage method assuming the following scenarios. Weekly withholding allowance = \$79.80 for each allowance.

Employee	Weekly Salary	Marital Status	Allowances	FIT Withholding
Winnie	\$750	Single	1	
Piglet	\$1,350	Married	2	
Eeyore	\$975	Single	0	
Kanga	\$4,210	Married	3	
Tigger	\$2,170	Married	4	

Percentage Method Tables for Income Tax Withholding

(For Wages Paid in 2018)

TABLE 1—WEEKLY Payroll Period

(a) SINGLE person (including head of household)—				(b) MARRIED person—			
If the amount of wages (after subtracting withholding allowances) is:		The amount of income tax to withhold is:		If the amount of wages (after subtracting withholding allowances) is:		The amount of income tax to withhold is:	
Not over \$71		\$0		Not over \$222		\$0	
Over—	But not over—	of excess over—		Over—	But not over—	of excess over—	
\$71	—\$254 . . .	\$0.00 plus 10%	—\$71	\$222	—\$588 . . .	\$0.00 plus 10%	—\$222
\$254	—\$815 . . .	\$18.30 plus 12%	—\$254	\$588	—\$1,711 . . .	\$36.60 plus 12%	—\$588
\$815	—\$1,658 . . .	\$85.62 plus 22%	—\$815	\$1,711	—\$3,395 . . .	\$171.36 plus 22%	—\$1,711
\$1,658	—\$3,100 . . .	\$271.08 plus 24%	—\$1,658	\$3,395	—\$6,280 . . .	\$541.84 plus 24%	—\$3,395
\$3,100	—\$3,917 . . .	\$617.16 plus 32%	—\$3,100	\$6,280	—\$7,914 . . .	\$1,234.24 plus 32%	—\$6,280
\$3,917	—\$9,687 . . .	\$878.60 plus 35%	—\$3,917	\$7,914	—\$11,761 . . .	\$1,757.12 plus 35%	—\$7,914
\$9,687	—	\$2,898.10 plus 37%	—\$9,687	\$11,761	—	\$3,103.57 plus 37%	—\$11,761

2. **(64 points, 2 points each)** Use the following information to complete the Form 941 on the next two pages. Toontown's Federal ID number is 98-7654321. Toontown's address is 1313 Disneyland Drive, Anaheim, CA 92802. The payroll information from the 2nd quarter follows:

- 13 employees
- Monthly Total wages \$36,000
- Monthly Federal Income Tax Withholding \$3,600
- Monthly Deposits \$9,108

Form **941 for 2017: Employer's QUARTERLY Federal Tax Return**
(Rev. January 2017) Department of the Treasury — Internal Revenue Service

950117
OMB No. 1545-0029

Employer identification number (EIN)			-						
Name (not your trade name)									
Trade name (if any)									
Address									
Number	Street				Suite or room number				
City				State	ZIP code				
Foreign country name			Foreign province/county			Foreign postal code			

Report for this Quarter of 2017
(Check one.)

- ☐ 1: January, February, March
☐ 2: April, May, June
☐ 3: July, August, September
☐ 4: October, November, December

Instructions and prior year forms are available at www.irs.gov/form941.

Read the separate instructions before you complete Form 941. Type or print within the boxes.

Part 1: Answer these questions for this quarter.

1	Number of employees who received wages, tips, or other compensation for the pay period including: <i>Mar. 12</i> (Quarter 1), <i>June 12</i> (Quarter 2), <i>Sept. 12</i> (Quarter 3), or <i>Dec. 12</i> (Quarter 4)	1	
2	Wages, tips, and other compensation	2	
3	Federal income tax withheld from wages, tips, and other compensation	3	
4	If no wages, tips, and other compensation are subject to social security or Medicare tax	☐ Check and go to line 6.	
Column 1 Column 2			
5a	Taxable social security wages		$\times 0.124 =$
5b	Taxable social security tips		$\times 0.124 =$
5c	Taxable Medicare wages & tips		$\times 0.029 =$
5d	Taxable wages & tips subject to Additional Medicare Tax withholding		$\times 0.009 =$
5e	Add Column 2 from lines 5a, 5b, 5c, and 5d	5e	
5f	Section 3121(q) Notice and Demand—Tax due on unreported tips (see instructions)	5f	
6	Total taxes before adjustments. Add lines 3, 5e, and 5f	6	
7	Current quarter's adjustment for fractions of cents	7	
8	Current quarter's adjustment for sick pay	8	
9	Current quarter's adjustments for tips and group-term life insurance	9	
10	Total taxes after adjustments. Combine lines 6 through 9	10	
11	Qualified small business payroll tax credit for increasing research activities. Attach Form 8974	11	
12	Total taxes after adjustments and credits. Subtract line 11 from line 10	12	
13	Total deposits for this quarter, including overpayment applied from a prior quarter and overpayments applied from Form 941-X, 941-X (PR), 944-X, or 944-X (SP) filed in the current quarter	13	
14	Balance due. If line 12 is more than line 13, enter the difference and see instructions	14	
15	Overpayment. If line 13 is more than line 12, enter the difference		Check one: ☐ Apply to next return. ☐ Send a refund.

► You MUST complete both pages of Form 941 and SIGN it.

Next ➔

For Privacy Act and Paperwork Reduction Act Notice, see the back of the Payment Voucher.

Cat. No. 17001Z

Form **941** (Rev. 1-2017)

950217

Name (not your trade name)	Employer identification number (EIN)
----------------------------	--------------------------------------

Part 2: Tell us about your deposit schedule and tax liability for this quarter.

If you are unsure about whether you are a monthly schedule depositor or a semiweekly schedule depositor, see section 11 of Pub. 15.

16 Check one: ☐ Line 12 on this return is less than \$2,500 or line 12 (line 10 if the prior quarter was the fourth quarter of 2016) on the return for the prior quarter was less than \$2,500, and you didn't incur a \$100,000 next-day deposit obligation during the current quarter. If line 12 (line 10 if the prior quarter was the fourth quarter of 2016) for the prior quarter was less than \$2,500 but line 12 on this return is \$100,000 or more, you must provide a record of your federal tax liability. If you are a monthly schedule depositor, complete the deposit schedule below; if you are a semiweekly schedule depositor, attach Schedule B (Form 941). Go to Part 3.

☐ You were a monthly schedule depositor for the entire quarter. Enter your tax liability for each month and total liability for the quarter, then go to Part 3.

Tax liability: Month 1

Month 2

Month 3

Total liability for quarter

Total must equal line 12.

☐ You were a semiweekly schedule depositor for any part of this quarter. Complete Schedule B (Form 941), Report of Tax Liability for Semiweekly Schedule Depositors, and attach it to Form 941.

Part 3: Tell us about your business. If a question does NOT apply to your business, leave it blank.

17 If your business has closed or you stopped paying wages ☐ Check here, and enter the final date you paid wages .

18 If you are a seasonal employer and you don't have to file a return for every quarter of the year . . . ☐ Check here.

Part 4: May we speak with your third-party designee?

Do you want to allow an employee, a paid tax preparer, or another person to discuss this return with the IRS? See the instructions for details.

☐ Yes. Designee's name and phone number

Select a 5-digit Personal Identification Number (PIN) to use when talking to the IRS.

☐ No.

Part 5: Sign here. You MUST complete both pages of Form 941 and SIGN it.

Under penalties of perjury, I declare that I have examined this return, including accompanying schedules and statements, and to the best of my knowledge and belief, it is true, correct, and complete. Declaration of preparer (other than taxpayer) is based on all information of which preparer has any knowledge.



Sign your name here

Print your name here

Print your title here

Date

Best daytime phone

Paid Preparer Use Only

Check if you are self-employed . . . ☐

Preparer's name

PTIN

Preparer's signature

Date

Firm's name (or yours if self-employed)

EIN

Address

Phone

City State

ZIP code

3. (55 points, 5 points each) Use the following information to complete the Form 8109-B below. Adventureland's Federal ID number is 12-3456789. Adventureland's address is 1313 Disneyland Drive, Anaheim, CA 92802 and phone number is (999)123-4567. The payroll information for May 2018 follows:

- 13 employees
- Monthly Total wages \$42,000
- Monthly Federal Income Tax Withholding \$4,500

TAX YEAR MONTH		AMOUNT OF DEPOSIT (Do NOT type, please print.)		Darken only one TYPE OF TAX		Darken only one TAX PERIOD
		DOLLARS	CENTS			
				☐ 941	☐ 945	☐ 1st Quarter
				☐ 990C	☐ 1120	☐ 2nd Quarter
				☐ 943	☐ 990-T	☐ 3rd Quarter
				☐ 720	☐ 990PF	☐ 4th Quarter
				☐ CT-1	☐ 1042	
				☐ 940		

35

EMPLOYER IDENTIFICATION NUMBER →

BANK NAME/ DATE STAMP

Name _____

Address _____

City _____

State _____ ZIP _____

IRS USE ONLY

Telephone number () _____

FOR BANK USE IN MICR ENCODING

Federal Tax Deposit Coupon
Form 8109-B (Rev. 1-94)